

EAST MEADOWS HOMEOWNERS ASSOCIATION

Delinquency Policy for Quarterly Homeowner Fees

Day	Description of Item or Event
1	Quarterly bill sent to homeowner
30	Quarterly payment due
45	Quarterly payment becomes delinquent. Full 10% late charge and 12% annual interest is posted.
50	Association may send a demand letter but is not required to do so-cost billed to owner
60	Association has Pre-Lien Notice (Letter of Intent to file a Notice of Delinquent Assessment) sent to Owner — cost billed to Owner
90	Association has Notice of Assessment Lien recorded and serves notice on owner — cost billed to Owner
120	Association has Notice of Default recorded and mails copies to Owner and other interested parties — cost billed to Owner
210	Notice of Sale — cost billed to Owner
231	Trustee's Sale — cost billed to Owner

Payments will be applied to outstanding balances first. If any balance is not paid in full by the delinquent date late charges will be assessed, on any outstanding amounts.

adoped by board of directors 11/4/10

The Board reserves the right to bill the Owner for any costs related to the collection of Assessment, which includes Administrative Costs incurred by the Association.

NOTICE ASSESSMENTS AND FORECLOSURE

This notice outlines some of the rights and responsibilities of owners of property in common interest developments and the associations that manage them. Please refer to the sections of the Civil Code indicated for further information. A portion of the information in this notice applies only to liens recorded on or after January 1, 2003. You may wish to consult a lawyer if you dispute an assessment.

ASSESSMENTS AND NONJUDICIAL FORECLOSURE

The failure to pay association assessments may result in the loss of an owner's property without court action, often referred to as nonjudicial foreclosure. When using nonjudicial foreclosure, the association records a lien on the owner's property. The owner's property may be sold to satisfy the lien, if the lien is not paid. Assessments become delinquent 15 days after they are due, unless the governing documents of the association provide a longer time. (Sections 1366 and 1367.1 of the Civil Code)

In a nonjudicial foreclosure, the association may recover assessments, reasonable costs of collection, reasonable attorney's fees, late charges, and interest. The association may not use nonjudicial foreclosure to collect fines or penalties, except for costs to repair common areas damaged by a member or a member's guests, if the governing documents provide for this. (Sections 1366 and 1367.1 of the Civil Code)

The association must comply with the requirements of Section 1367.1 of the Civil Code when collecting delinquent assessments. If the association fails to follow these requirements, it may not record a lien on the owner's property until it has satisfied those requirements. Any additional costs that result from satisfying the requirements are the responsibility of the association. (Section 1367.1 of Civil Code)

At least 30 days prior to recording a lien on an owner's 0.0% separate interest, the association must provide the owner with certain documents by certified mail. Among these documents, the association must send a description of its collection and lien enforcement procedures and the method of calculating the amount. It must also provide an itemized statement of the charges owed by the owner. An owner has a right to review the association's records to verify the debt. (Section 1367.1 of the Civil Code)

If a lien is recorded against an owner's property in error, the person who recorded the lien is required to record a lien release within 21 days, and to provide an owner certain documents in this regard. (Section 1367.1 of the Civil Code)

The collection practices of the association may be governed by state and federal laws regarding fair debt collection. Penalties can be imposed for debt collection practices that violate these laws.

Notice of Alternative Dispute Resolution Requirements

This summary is intended for the general information of the Association's members and specific reference is to be made to the actual language of the Civil Code in any particular set of circumstances. The Association shall not be liable for reliance upon or interpretation of this summary by any party.

Summary of Civil Code Section 1354

Prior to a member of the Association or the Association filing a civil action seeking to enforce the governing documents by:

- 1). Declaratory relief or injunctive relief, or
- 2). Declaratory relief or injunctive relief in conjunction with a claim for monetary damages, other than assessments, not in excess of five thousand dollars (\$5,000), the parties shall endeavor to submit their dispute to a form of Alternative Dispute Resolution ("ADR") such as binding or nonbinding mediation or arbitration, unless the applicable time limitation for filing such an action would run within 120 days, or the action is a cross-complaint.

To initiate the ADR process a party may serve on the other party a "Request for Resolution" which shall include the following:

- 1). A brief description of the dispute between the parties,
- 2). A request for Alternative Dispute Resolution, and
- 3). A notice that the party receiving the Request for Resolution is required to respond thereto within 30 days of receipt or it shall be deemed rejected.
- 4). The Request shall be accompanied by a copy of Civil Code Section 1354.

The Request for Resolution shall be served on the other party by any of the following:

- 1). By causing it to be delivered directly to the other party in person
- 2). By causing it to be sub served pursuant to Cod of Civil Procedure Section 415.20

The party receiving a Request for Resolution has 30 days from receipt to accept or reject, and if not accepted within 30 days to request is deemed rejected. If accepted, the alternative dispute resolution shall be completed within 90 days of the receipt of acceptance by the requesting party, unless extended by written stipulation by the parties. The costs of ADR shall be shared equally by the parties.

If a lawsuit is filed for the aforementioned actions, a certificate stating the following must be filed with the complaint:

- 1). ADR has been completed in compliance with the statute, or
- 2). One of the other parties to the dispute refused ADR, or
- 3). Preliminary or temporary injunctive relief was necessary, or
- 4). The limitation period for bringing the action would have run within the 120 day period.

In any action to enforce the governing documents, the prevailing party shall be awarded reasonable attorney's fees and costs, and the court may take into consideration a party's refusal to participate in ADR in determining the amount.

**FAILURE BY ANY MEMBER OF THE ASSOCIATION TO COMPLY WITH
THE PREFILING REQUIREMENTS OF SECTION 1354 OF THE CIVIL CODE
MAY RESULT IN THE LOSS OF YOUR RIGHTS TO SUE THE ASSOCIATION
OR ANOTHER MEMBER OF THE ASSOCIATION REGARDING
ENFORCEMENT OF THE GOVERNING DOCUMENTS**